



Time: 5 minutes

Outcome: Analyze Short-Run Supply & Cost Shifts.

Difficulty: Intermediate

Short-Run Supply & Cost Shifts

THE CORE IDEA

A competitive firm's short-run supply curve is the rising portion of marginal cost at and above minimum average variable cost. The tax is tied to each unit produced. MC gives the additional cost of supply. The short-run supply schedule depends on marginal and variable costs, not fixed cost.

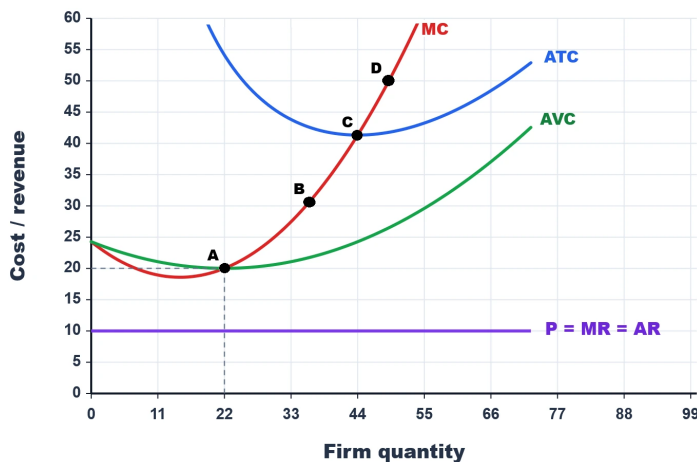
HOW TO RECOGNIZE IT

- Use the rising portion of marginal cost at and above minimum average variable cost as firm supply.
- A variable-input cost increase shifts marginal cost and short-run supply upward or left.
- A fixed-cost change shifts average total cost but leaves marginal cost and short-run supply unchanged.
- Distinguish a movement along supply caused by price from a shift caused by production conditions.

WATCH OUT

Do not assume fixed cost shifts supply. The short-run supply schedule depends on marginal and variable costs, not fixed cost. Fixed cost affects profit but not the short-run MC-above-AVC supply schedule.

WORKED EXAMPLE: READING SHORT-RUN FIRM SUPPLY



The firm's short-run supply curve is the portion of MC at and above minimum AVC, which begins at point A: 22 units and \$20. For example, if market price rises to \$30, the firm supplies the quantity at point B, about 36 units. MC below A is not part of supply because the firm shuts down.

CHECK YOURSELF

Which MC segment is competitive short-run supply?

READY?

Return to the game and master this concept.